

crisis by central banks around the world, by keeping interest rates ultra-low, similar to the years preceding the most recent crisis, my view is we may be in store for continued volatility. Therefore, understanding irrational investor behavior is as important as it has ever been, probably more so. This is true not only for the markets in general but most especially for individual investors. This book will be used primarily by financial advisors, but it can also be effectively used by sophisticated individual investors who wish to become more introspective about their own behaviors and to truly try to understand how to create a portfolio that works for them. The book is not intended to sit on the polished mahogany bookcases of successful advisors as a showpiece: It is a guidebook to be used and implemented in the pursuit of building better portfolios.

The reality of today's advisor-investor relationship demands a better understanding of individual investors' behavioral biases and an awareness of these biases when structuring investment portfolios. Advisors need to focus more acutely on why their clients make the decisions they do and whether behaviors need to be modified or adapted. If advisors can successfully accomplish this difficult task, the relationship will be strengthened considerably, and advisors can enjoy the loyalty of clients who end the search for a new advisor.

In the past 250 years, many schools of economic and social thought have been developed, some of which have come and gone, while others are still very relevant today. We will explore some of these ideas to give some perspective on where behavioral finance is today. In the past 30 years, the interest in behavioral finance as a discipline has not only emerged but rather exploded onto the scene, with many articles written by very prestigious authors in prestigious publications and now is consistently in the mainstream media. We will review some of the key people who have shaped the current body of behavioral finance thinking and the work done by them. The intent is to take the study of behavioral finance to another level: reviewing the most important behavioral biases in terms that advisors and investors can understand, and demonstrating how biases are to be used in practice through the use of case studies—a “how-to” of behavioral finance. We will also explore some of the new frontiers of behavioral finance, things not even discussed by today's advisors that may be commonly discussed in the next 30 years.

A CHALLENGING ENVIRONMENT

In the last edition, I noted that investment advisors have never had a more challenging environment to work in. I wrote: “Many advisors thought they had found nirvana in the late 1990s, only to find themselves in quicksand